

INTERNAL AUDIT REPORT

Expense Audit | Report No. AR-02338

Report ID:	AR-02338
Audit Type:	Expense Audit
Report Date:	June 20, 2023
Audit Period:	2022-09-16 to 2023-06-11
Lead Auditor:	Michele Lozano (EMP-21636)
Reviewed By:	Paige Pearson (EMP-33727)
Primary Vendor Reference:	GreenBridge Consulting Inc (VND-01205)
Subject Employee Reference:	Joseph Leach (EMP-53451)
Primary Transaction Reference:	TXN-C211507865
Overall Risk Rating:	LOW

1. EXECUTIVE SUMMARY

This expense audit covered the period 2022-09-16 to 2023-06-11 and focused on transactions and approvals associated with vendor GreenBridge Consulting Inc (VND-01205). No material control deficiencies were identified. Minor observations are noted in Section 3 for continuous improvement purposes. Overall control environment is assessed as **LOW** risk.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C211507865 (amount 76,345.94 USD) was selected as a key test item.

3. FINDINGS

No significant findings were identified during this audit cycle. The following observations are noted for informational purposes:

Finding ID	Severity	Category	Description
FND-000693	MEDIUM	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$227,119 was approved at L1 without L4 countersignature.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001261	VENDOR RECORD	EVD-PJI-1189	0.79
EVI-003798	POLICY DOCUMENT	EVD-LGO-6169	0.90
EVI-003977	DNS LOG	EVD-EYJ-1402	0.59
EVI-019345	DNS LOG	EVD-DHF-8719	0.99

5. RECOMMENDATIONS

- Implement receipt-matching automation for expense claims above the policy threshold.
- Strengthen segregation of duties between transaction initiation and approval functions.
- Introduce automated system validation to block approvals exceeding the approver's authorised limit.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Michele Lozano	EMP-21636	2023-06-20
Reviewing Officer	Paige Pearson	EMP-33727	2023-06-22